HARRIS WILLIAMS & CO.

CONFIDENTIAL INFORMATION MEMORANDUM

PROJECT QUARRY

Consolidated Rock Industries

Light Industrial — Aggregates & Quarrying

March 2019 | STRICTLY PRIVATE & CONFIDENTIAL

Executive Summary

Consolidated Rock Industries — Light Industrial

Consolidated Rock Industries ("CRI" or the "Company") is a leading regional aggregates producer operating 14 permitted quarry sites across Utah, Nevada, Colorado, and Idaho. The Company produces crushed stone, construction sand & gravel, and ready-mix concrete for residential, commercial, and infrastructure end-markets. With over 580M tons of permitted mineral reserves, CRI offers an acquiror 30+ years of fully-permitted production capacity — a near-irreplaceable asset given increasingly restrictive permitting environments.

$245M	LTM Revenue
$44M	LTM Adj. EBITDA
+18%	YoY Revenue Growth
580M tons	Permitted Reserves
14	Quarry Sites
18.0%	EBITDA Margin

Key Financial Metrics

LTM Q1'19 Revenue	**$245M**
Adj. EBITDA	**$44M (18.0%)**
Revenue Growth (YoY)	**+18%**
Asking EV	**~$350M**
Transaction Multiple	**7.9x LTM Adj. EBITDA**

Investment Highlights

Six reasons Consolidated Rock Industries represents a compelling platform investment

01

Irreplaceable permitted reserve base with 30+ years of production

580M tons of permitted mineral reserves across 14 active quarry sites · New quarry permitting in the Mountain West takes 8–15 years and >$12M — creating structural supply constraints · CRI holds the largest single permitted reserve in the Salt Lake Basin (190M tons, Granite Peak site)

02

Diversified end-market exposure with infrastructure tailwind

Revenue mix: infrastructure/public works 48%, residential 31%, commercial 21% · IIJA (Infrastructure Investment & Jobs Act) expected to generate $550B+ in construction spending through 2028 · Utah DOT awarded $2.1B in highway projects for 2019–2023; CRI is sole-source supplier on 3 projects

03

Strong pricing power in consolidated local markets

CRI holds #1 or #2 market position in each of its 6 served metropolitan areas · Crushed stone ASP of $14.20/ton vs. regional average $11.80/ton — 20% premium reflects permit scarcity · Pricing increased 6.2% in FY2018 with no volume impact; further increases planned for 2019

04

Vertically integrated with owned logistics and ready-mix

220-vehicle owned fleet eliminates third-party trucking dependency — saves est. $8M/yr vs. outsourced · Ready-Mix Concrete division (14% of revenue) captures downstream value and improves product mix · Owned rail spur at Granite Peak enables large-volume, long-haul sales to new geographies

05

Consistent cash generation with low ongoing capex requirements

Quarrying is a low-reinvestment business once permitted — maintenance capex averages 4.2% of revenue · Free cash flow conversion >85% of Adj. EBITDA over trailing 3 years · No material environmental remediation liabilities — all sites carry active closure bonds

06

Founder-led platform with active M&A pipeline

CEO David Mercer has identified 6 bolt-on quarry targets in adjacent markets (WY, MT, AZ) · 3 targets in late-stage negotiation; combined EV ~$85M at 5–6x EBITDA (immediate accretion) · Acquisitive roll-up strategy proven — CRI completed 4 acquisitions 2012–2017 at avg. 5.3x EBITDA

Company Overview

History, scale, and operating footprint

Consolidated Rock Industries ("CRI" or the "Company") is a leading regional aggregates producer operating 14 permitted quarry sites across Utah, Nevada, Colorado, and Idaho. The Company produces crushed stone, construction sand & gravel, and ready-mix concrete for residential, commercial, and infrastructure end-markets.

2004
nded by David Mercer; acquired te Peak quarry (Salt Lake City) for $18M.

2008
Expanded into Nevada; acquired Twin Pines Aggregates (2 sites, 85M ton reserves).

2012
Ready-Mix Concrete division launched; Revenue crosses $100M for first time.

2014
Colorado entry: acquired Rockies Aggregate Partners (3 quarry sites, $42M).

2016
Rail spur completed at Granite Peak; opens long-haul bulk sales channel.

2018
Revenue $218M; EBITDA margin expands to 17.4%. Idaho market entry.

2019
Initiating sale process via Harr Williams. LTM revenue $245M, EE $44M.

2004	Salt Lake City, UT	~640	14 (4 states)	~580M tons	220+ vehicles
Founded	HQ	Employees	Quarry Sites	Reserves	Fleet

Products & Services

Diversified offering with multiple growth vectors

PRIMARY PRODUCT — 52% OF REVENUE | **$14.20/ton avg.**

Crushed Stone & Granite

- Granite, limestone, and dolomite products graded to DOT specification
- Serves base course, drainage, concrete aggregate, and rip-rap applications
- Produced at 11 of 14 quarry sites; 190M tons of granite reserves at Granite Peak alone

SECONDARY PRODUCT — 21% OF REVENUE | **$11.50/ton avg.**

Sand & Gravel

- Natural sand and gravel for concrete, masonry, and landscaping
- Lower-cost product with high-volume demand from residential housing
- 3 dedicated alluvial deposits; 85M tons of permitted sand & gravel reserves

VALUE-ADD PRODUCT — 14% OF REVENUE | **$132/yd^3 avg.**

Ready-Mix Concrete

- Vertically integrated concrete mixing using CRI-sourced aggregates
- 8 batch plants co-located with quarry sites; 220 mixer trucks
- Captures ~$35/yd^3 of downstream margin vs. selling aggregate to third-party mixers

SPECIALTY — 13% OF REVENUE | **Custom**

Industrial Minerals

- High-purity limestone for agricultural lime, water treatment, and industrial applications
- Premium pricing vs. construction aggregate — avg. margin 24% vs. 18% overall
- Long-term supply contracts with 3 regional municipalities (water treatment)

Market Opportunity

Large and growing addressable market

US Construction Materials Market

Aggregate demand grows in line with construction activity (source: USGS 2019)

$415B+

Western US Aggregates Market

CRI's served geography; growing 5% annually with housing + infrastructure tailwind

$28B

Mountain West Crushed Stone

CRI's core product TAM; supply-constrained given permitting barriers

$6.5B

CRI Served Markets (6 MSAs)

Direct competitive TAM; CRI holds #1-2 position in each

Market growth is driven by: infrastructure investment (IIJA), Western US population growth, and supply-constrained permitting environment limiting new entrants.

Business Model & Unit Economics

Revenue mix and key operating metrics

Infrastructure & Public Works — 48%

~$118M LTM

DOT highway, bridge, and utility projects

Long-term supply agreements (avg. 3.2 yr duration)

Sole-source status on 3 Utah DOT projects ($280M combined)

Crushed Stone Gross Margin	22.1%
Ready-Mix Gross Margin	14.8%

Residential Construction — 31%

~$76M LTM

Homebuilder relationships with D.R. Horton, Ivory Homes, local developers

Aggregate base course, drainage rock, and concrete supply

Strong tailwind: SL metro housing starts +18% YoY

Crushed Stone Gross Margin	22.1%
Ready-Mix Gross Margin	14.8%

Commercial & Industrial

~$51M LTM

Commercial real estate, warehousing, data centers

Industrial mineral supply to municipal water treatment (3 contracts)

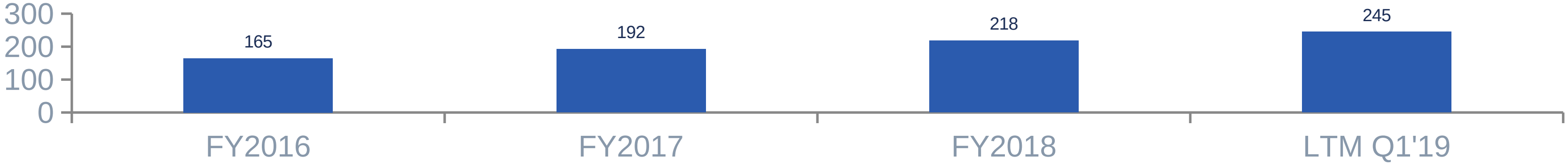
Ready-mix concrete direct to GC/sub-contractors

Crushed Stone Gross Margin	22.1%
Ready-Mix Gross Margin	14.8%

Historical Financial Performance

$ in millions; FY ends December 31

($M unless noted)	FY2016	FY2017	FY2018	LTM Q1'19
Revenue	165.0	192.4	218.3	245.1
YoY Growth	—	+16.6%	+13.5%	+18.1%
Gross Profit	62.0	74.2	86.5	98.0
Gross Margin %	37.6%	38.6%	39.6%	40.0%
Adj. EBITDA	28.1	33.0	38.0	44.1
EBITDA Margin %	17.0%	17.2%	17.4%	18.0%
D&A	(18.2)	(20.1)	(22.8)	(25.5)
EBIT	9.9	12.9	15.2	18.6



Adj. EBITDA excludes stock-based compensation and one-time items.

Balance Sheet & Capital Structure

As of most recent period; $ in millions

Capital Structure

Instrument	Maturity	Balance	Leverage
Senior Secured TL (L+275)	2024	$125.0M	2.8x LTM EBITDA
Revolving Credit Facility	2023	$30.0M	—
Total Debt		**$155.0M**	
(-) Cash		**($18.5M)**	
Net Debt		**$136.5M**	**3.1x net leverage**

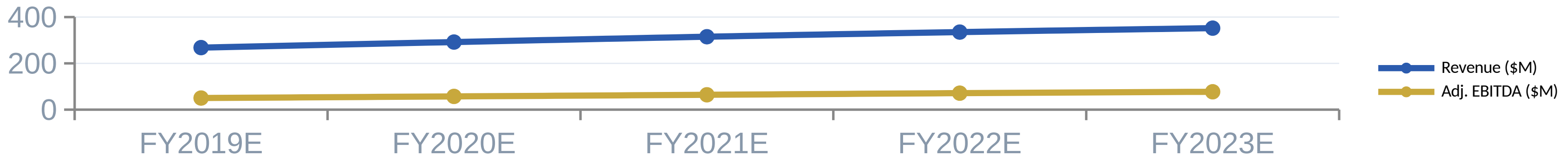
Valuation Context

Metric	Value	Commentary
Enterprise Value (guidance)	~$350M	7.9x LTM Adj. EBITDA
Revenue Multiple (LTM)	1.4x	Typical for aggregates: 1.2–1.6x
EBITDA Multiple (LTM)	7.9x	Discount to public comps (10–12x) on size
EV / Tons of Reserve	$0.60/ ton	~$0.50–0.80 range for permitted quarries
EBITDA Multiple (FY2020E)	6.1x	Compelling on projected growth path

Financial Projections

Management case; $ in millions — not independently verified by Harris Williams

($M unless noted)	FY2019E	FY2020E	FY2021E	FY2022E	FY2023E
Revenue	268	292	315	335	352
YoY Growth	+9%E	+9%E	+8%E	+6%E	+5%E
Gross Profit	109	120	131	141	150
Gross Margin %	40.7%	41.1%	41.6%	42.1%	42.6%
Adj. EBITDA	50	57	64	71	77
EBITDA Margin %	18.7%	19.5%	20.3%	21.2%	21.9%
Maintenance Capex	(11)	(12)	(13)	(13)	(14)



Management projections. Actual results may differ materially.

Management Team

Experienced leadership with deep sector expertise

D

David Mercer

Chief Executive Officer & Founder

Founder of CRI (2004). 30+ years in aggregates and construction materials. Previously VP Operations at Vulcan Materials Western Region. Owns 62% of company equity. Holds BS Civil Engineering, University of Utah.

P

Patricia Holt

Chief Financial Officer

Joined CRI in 2011. Former Controller at US Concrete and before that 8 years in mining finance at Ernst & Young. CPA. Manages banking relationships and led 2014 Colorado acquisition financing.

M

Mark Sandoval

Chief Operating Officer

27 years in quarry operations. Joined CRI from Martin Marietta Materials in 2009. Oversees all 14 quarry sites, fleet maintenance, and ready-mix operations. Led the Granite Peak rail spur project ($8M, on budget, on schedule).

C

Carol Jensen

VP Sales & Business Development

15 years at CRI; VP since 2015. Manages all contractor, DOT, and municipal accounts. Personally manages the top 20 accounts representing 58% of revenue. Identified and closed the 3 municipal water-treatment contracts.

T

Tom Brewer

VP Land & Permitting

Environmental attorney turned operator. Leads all permitting, reclamation, and land acquisition activities. Secured the Granite Peak reserve expansion permit in 2017 — adding 80M tons to reserves — after 4 years of regulatory process.

L

Lisa Park

VP Human Resources & Safety

MSHA-certified safety director. Reduced recordable incident rate from 4.2 to 1.8 per 200K hours over 6 years. Manages workforce of 640 across 14 sites and 4 states. Leads apprenticeship program with Salt Lake Community College.

Transaction Overview

Harris Williams & Co. exclusive sell-side advisory — March 2019

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Process Structure

Structure	Targeted process; select financial and strategic buyers
Data Room	Virtual (Merrill DataSite); available to qualified parties
Management	CEO/CFO/COO presentations; site visits available
Exclusivity	Per process letter; IOIs due April 5, 2019
Advisor	Harris Williams & Co. (exclusive sell-side)

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Supplemental Financial Detail

Quarterly revenue bridge and unit economics detail

Key Operating Metrics

Metric	Value	Trend / Commentary
Crushed Stone Gross Margin	**22.1%**	↑ +4pp vs. FY2016 on pricing & volume leverage
Ready-Mix Gross Margin	**14.8%**	Stable; volume growth drives fixed-cost absorption
Blended Gross Margin	**40.0%**	↑ as industrial minerals / ready-mix mix increases
Revenue per Ton (crushed stone)	**$14.20**	↑ +6.2% FY2018; +4–5% increases planned annually
Maintenance Capex % of Revenue	**4.2%**	Low reinvestment intensity — quarry assets long-lived
FCF Conversion (% of Adj. EBITDA)	**>85%**	Consistent over trailing 3 years

APPENDIX

Additional materials available in virtual data room upon NDA execution

Detailed financial model · Customer list · Site photos · Reference accounts · Environmental reports